

SERVICE AGREEMENT

This Service Agreement ("Agreement") is made and entered into on this **1st day of August, 2026** by and between:

TechNova Solutions Private Limited, a company incorporated under the provisions of the Companies Act, 2013, having its Registered Office at **No. 42, 2nd Floor, MG Road, Bengaluru – 560001, Karnataka, India**, bearing Corporate Identification Number (CIN) **U72900KA2020PTC135678**, GSTIN **29AAICT4567P1Z8**, PAN **AAICT4567P**, represented by its **Managing Director, Mr. Rajesh Kumar**, aged about **45 years**, duly authorized to execute this Agreement on behalf of the Company, hereinafter referred to as the "**Client**", which expression shall, unless repugnant to the context or meaning thereof, include its successors, legal representatives, administrators and permitted assigns.

AND

Innovate Digital Services Private Limited, a company incorporated under the Companies Act, 2013, having its Registered Office at **No. 108, 5th Main Road, Electronic City Phase I, Bengaluru – 560100, Karnataka, India**, bearing Corporate Identification Number (CIN) **U72200KA2021PTC148963**, GSTIN **29AACCI7894R1Z5**, PAN **AACCI7894R**, represented by its **Director, Ms. Priya Sharma**, aged about **38 years**, duly authorized to execute this Agreement on behalf of the Company, hereinafter referred to as the "**Service Provider**" or "**Supplier**", which expression shall, unless repugnant to the context or meaning thereof, include its successors, legal representatives, administrators and permitted assigns.

The Client and the Service Provider are hereinafter individually referred to as a "**Party**" and collectively referred to as the "**Parties**."

WHEREAS

A. The Client is engaged in the business of providing information technology solutions, software development, consulting services, cloud computing, and digital transformation solutions to customers across India and overseas.

B. The Service Provider possesses the necessary technical expertise, skilled manpower, infrastructure, knowledge, and experience required for providing professional software development, application maintenance, technical consulting, quality assurance, cloud support, cybersecurity, and related IT services.

C. The Client desires to engage the Service Provider for the performance of the Services described in **Annexure-I** attached to this Agreement.

D. The Service Provider has represented that it possesses all licenses, approvals, permissions, expertise, infrastructure, and personnel necessary for providing the Services and has agreed to provide such Services on the terms and conditions contained herein.

E. Both Parties intend that this Agreement shall define their respective rights, obligations, responsibilities, liabilities, and the terms governing the performance of the Services.

ARTICLE 1: STRUCTURE OF THE AGREEMENT AND PRECEDENCE

1.1 This Agreement consists of the main body of this Agreement together with **Annexure-I**, which forms an integral part of this Agreement.

1.2 The main body contains the standard terms and conditions governing the relationship between the Client and the Service Provider.

1.3 Annexure-I contains the detailed scope of work, deliverables, implementation schedule, service levels, commercial terms, and any special conditions applicable to the Services.

1.4 In the event of any conflict between the provisions of this Agreement and Annexure-I, the provisions of this Agreement shall prevail unless Annexure-I expressly states otherwise.

1.5 Any amendment or modification shall be valid only if made in writing and signed by the duly authorized representatives of both Parties.

ARTICLE 2: SCOPE OF SERVICES

2.1 The Client hereby appoints the Service Provider to perform professional Information Technology Services, including but not limited to software development, web application development, mobile application development, cloud deployment, database management, technical consulting, software testing, maintenance, cybersecurity support, API integration, and technical documentation.

2.2 The Service Provider agrees to provide the Services in accordance with the specifications mentioned in Annexure-I and in accordance with generally accepted industry standards.

2.3 Nothing contained in this Agreement shall prevent the Service Provider from providing similar services to other clients, provided that confidential information of the Client is not disclosed or misused.

ARTICLE 3: PERFORMANCE OF SERVICES

3.1 The Service Provider shall perform the Services with due care, skill, diligence, efficiency, professionalism, and in accordance with accepted industry standards.

3.2 The Service Provider shall assign qualified and experienced personnel possessing the necessary technical knowledge for successful execution of the Services.

3.3 The Service Provider shall ensure timely completion of all deliverables according to the agreed project schedule.

3.4 The Service Provider may perform the Services from its own office premises or remotely unless the Client specifically requires onsite services.

3.5 The Service Provider shall provide all equipment, software, licenses, computers, internet connectivity, and other resources necessary for performing the Services unless otherwise agreed.

3.6 Weekly progress reports shall be submitted to the Client every Friday detailing completed work, pending activities, issues encountered, and the work planned for the following week.

3.7 In the event of any delay likely to affect the project schedule, the Service Provider shall immediately notify the Client in writing together with a proposed mitigation plan.

3.8 The completed Services shall be subject to acceptance by the Client within **15 business days** after delivery.

3.9 If any deliverable does not meet the agreed specifications, the Service Provider shall rectify the deficiencies at its own cost within **7 business days** after receiving written notice.

3.10 Any modification to the project scope, deliverables, commercial terms, or timelines shall be mutually agreed upon through a written Change Request signed by both Parties.

ARTICLE 4: COMPENSATION, INVOICING AND PAYMENT

4.1 In consideration of the Services rendered, the Client agrees to pay the Service Provider a total contract value of **Rs. 12,00,000/- (Rupees Twelve Lakhs Only)** exclusive of applicable GST.

4.2 Payment shall be released according to the following milestones:

- Project Initiation – **20%**
- Design Approval – **20%**
- Development Completion – **30%**
- User Acceptance Testing – **20%**
- Final Deployment – **10%**

4.3 The Service Provider shall submit a valid GST Tax Invoice after completion of each milestone.

4.4 Every invoice shall contain:

- Invoice Number
- Invoice Date
- GSTIN
- PAN
- Description of Services
- Project Reference Number
- Amount Payable
- Applicable GST
- Bank Account Details

4.5 Payment shall be made by NEFT/RTGS within **30 calendar days** from the date of receipt of a correct invoice.

4.6 Any disputed invoice shall be notified by the Client within **10 business days**.

4.7 The prices agreed under this Agreement shall remain fixed throughout the contract period unless otherwise mutually agreed.

4.8 Out-of-pocket expenses such as travel, accommodation, and logistics shall be reimbursed only if pre-approved by the Client in writing.

ARTICLE 5: TAXES

5.1 All prices mentioned under this Agreement are exclusive of applicable GST.

5.2 The Service Provider shall be solely responsible for payment of Income Tax, GST, Professional Tax, EPF, ESI, Labour Welfare Fund, and all other statutory obligations relating to its employees.

5.3 The Client shall deduct Tax Deducted at Source (TDS), wherever applicable, under the Income Tax Act, 1961.

5.4 The Service Provider shall indemnify the Client against any statutory liabilities arising due to non-payment of taxes or statutory dues by the Service Provider.

ARTICLE 6: INTELLECTUAL PROPERTY RIGHTS

6.1 All software, source code, documentation, reports, designs, databases, APIs, technical documents, and other deliverables specifically developed under this Agreement shall become the exclusive property of the Client upon full payment.

6.2 The Service Provider shall execute all documents necessary to transfer Intellectual Property Rights to the Client.

6.3 Any software tools, frameworks, methodologies, or pre-existing intellectual property owned by the Service Provider before execution of this Agreement shall remain the exclusive property of the Service Provider.

6.4 The Service Provider grants the Client a perpetual, non-exclusive, royalty-free license to use any pre-existing tools incorporated into the deliverables.

6.5 The Service Provider warrants that the Services and deliverables shall not infringe upon any patent, copyright, trademark, trade secret, or other intellectual property rights of any third party.

6.6 The Service Provider shall indemnify the Client against all claims arising from any infringement of Intellectual Property Rights.

ARTICLE 7: CONFIDENTIALITY

7.1 During the term of this Agreement and thereafter, each Party shall keep strictly confidential all technical, commercial, financial, operational, business, customer, employee, software, source code, documentation, pricing, trade secrets, and proprietary information received from the other Party.

7.2 The Service Provider shall not disclose any Confidential Information to any third party without the prior written consent of the Client except where disclosure is required by law.

7.3 The confidentiality obligations under this Agreement shall survive for a period of **Five (5) years** after termination or expiry of this Agreement.

7.4 Confidential Information shall not include information which:

- a) is already in the public domain without breach of this Agreement;
- b) was lawfully known to the receiving Party before disclosure;
- c) is independently developed without reference to the Confidential Information; or

d) is required to be disclosed under any law or order of a competent court or statutory authority.

7.5 Upon termination of this Agreement, the Service Provider shall immediately return or permanently destroy all Confidential Information belonging to the Client and certify such destruction in writing if requested.

ARTICLE 8: REPRESENTATIONS AND WARRANTIES

8.1 Each Party represents and warrants that it has full legal authority and capacity to enter into this Agreement.

8.2 The Service Provider warrants that all Services shall be performed with reasonable care, skill, diligence, and professional competence in accordance with accepted industry standards.

8.3 The Service Provider further warrants that all personnel assigned to the project possess the necessary qualifications, experience, and technical expertise.

8.4 The Service Provider shall comply with all applicable Central, State, and Local Government laws, rules, regulations, and statutory requirements during the performance of the Services.

8.5 The Client warrants that it has obtained all necessary approvals required for implementation of the project.

ARTICLE 9: LIMITATION OF LIABILITY AND INDEMNITY

9.1 The Service Provider shall indemnify and keep indemnified the Client against any losses, damages, liabilities, penalties, costs, expenses, claims, or legal proceedings arising out of:

- Breach of this Agreement.
- Negligence or misconduct.
- Violation of applicable laws.
- Intellectual Property infringement.
- Data security violations.

9.2 Neither Party shall be liable for indirect, incidental, special, punitive, or consequential damages including loss of profits or business opportunities except in cases involving fraud, willful misconduct, confidentiality breaches, or Intellectual Property infringement.

9.3 The maximum aggregate liability of either Party under this Agreement shall not exceed the total contract value except where prohibited by law.

ARTICLE 10: TERM AND TERMINATION

10.1 This Agreement shall commence on **01 August 2026** and shall remain valid until **31 July 2027**, unless terminated earlier in accordance with this Agreement.

10.2 Either Party may terminate this Agreement by giving **30 days' prior written notice** to the other Party.

10.3 The Client may terminate this Agreement immediately if the Service Provider:

- Commits a material breach of this Agreement.
- Becomes insolvent or bankrupt.
- Engages in fraudulent or illegal activities.
- Fails to perform the Services despite written notice.

10.4 Upon termination, the Service Provider shall immediately deliver all completed work, documents, reports, software, databases, credentials, source code, and other project materials to the Client.

10.5 The Client shall pay for all satisfactorily completed Services performed up to the effective date of termination.

ARTICLE 11: FORCE MAJEURE

11.1 Neither Party shall be liable for failure or delay in performing its obligations due to events beyond its reasonable control including natural disasters, floods, earthquakes, fires, war, terrorism, riots, pandemics, strikes, government restrictions, power failures, internet outages, or any other force majeure event.

11.2 The affected Party shall notify the other Party in writing within **seven (7) days** of the occurrence of such event.

11.3 If the Force Majeure event continues for more than **60 consecutive days**, either Party may terminate this Agreement without liability by giving written notice.

ARTICLE 12: GOVERNING LAW AND DISPUTE RESOLUTION

12.1 This Agreement shall be governed by and construed in accordance with the laws of the **Republic of India**.

12.2 The Parties shall first attempt to resolve any dispute amicably through mutual discussions.

12.3 If the dispute is not resolved within **30 days**, it shall be referred to arbitration in accordance with the provisions of the **Arbitration and Conciliation Act, 1996**.

12.4 The arbitration shall be conducted by a **sole arbitrator** mutually appointed by the Parties.

12.5 The seat and venue of arbitration shall be **Bengaluru, Karnataka**.

12.6 The proceedings shall be conducted in the **English language**.

12.7 Subject to arbitration, the Courts at **Bengaluru, Karnataka** shall have exclusive jurisdiction.

ARTICLE 13: MISCELLANEOUS

13.1 This Agreement constitutes the entire understanding between the Parties and supersedes all prior oral or written agreements relating to the subject matter.

13.2 No amendment to this Agreement shall be valid unless made in writing and signed by the authorized representatives of both Parties.

13.3 Failure by either Party to enforce any provision shall not constitute a waiver of that provision.

13.4 If any provision of this Agreement is declared invalid or unenforceable, the remaining provisions shall continue in full force and effect.

13.5 All notices under this Agreement shall be in writing and delivered by registered post, courier, or email to the addresses specified by the Parties.

13.6 This Agreement may be executed in multiple counterparts, each of which shall be deemed an original, and together shall constitute one and the same instrument.

IN WITNESS WHEREOF

The Parties hereto have caused this Service Agreement to be executed by their duly authorized representatives on the day, month, and year first above written.

FOR THE CLIENT

TechNova Solutions Private Limited

Registered Office:

No. 42, 2nd Floor,

M.G. Road,

Bengaluru – 560001,

Karnataka, India

Represented By:

Mr. Rajesh Kumar

Managing Director

DIN: **08456789**

Signature: _____

Date: **01 August 2026**

Company Seal

FOR THE SERVICE PROVIDER

Innovate Digital Services Private Limited

Registered Office:

No. 108, 5th Main Road,

Electronic City Phase I,

Bengaluru – 560100,

Karnataka, India

Represented By:

Ms. Priya Sharma

Director

DIN: **09123456**

Signature: _____

Date: **01 August 2026**

Company Seal

WITNESSES

Witness No. 1

Name: Mr. Suresh Nair

Father's Name: K. Gopal Nair

Age: 50 Years

Occupation: Chartered Accountant

Address: No. 22, Residency Road, Bengaluru – 560025, Karnataka

Signature: _____

Witness No. 2

Name: Mrs. Kavitha Rao

Father's Name: R. Srinivas Rao

Age: 46 Years

Occupation: Advocate

Address: No. 15, Jayanagar 4th Block, Bengaluru – 560041, Karnataka

Signature: _____

ANNEXURE – I

SCOPE OF SERVICES

This Annexure forms an integral part of the Service Agreement dated **01 August 2026** entered into between **TechNova Solutions Private Limited** ("Client") and **Innovate Digital Services Private Limited** ("Service Provider").

Project Name

Enterprise Resource Planning (ERP) System Development and Implementation

Project Duration

12 Months

Start Date: 01 August 2026

Completion Date: 31 July 2027

Scope of Work

The Service Provider shall perform the following services:

- Requirement Gathering and Business Analysis.
 - UI/UX Design.
 - Web Application Development.
 - Mobile Application Development (Android & iOS).
 - Database Design and Management.
 - API Development and Integration.
 - Payment Gateway Integration.
 - User Authentication and Security Implementation.
 - Testing and Quality Assurance.
 - Deployment on Cloud Infrastructure.
 - User Training and Documentation.
 - Post-Implementation Technical Support.
-

Deliverables

The Service Provider shall deliver:

- Software Requirement Specification (SRS).
- System Design Document.
- UI/UX Prototype.
- Source Code.
- Database Scripts.
- API Documentation.
- User Manual.
- Administrator Manual.

- Test Cases and Reports.
 - Deployment Guide.
 - Final Production Software.
 - Project Completion Report.
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Service Levels

- Minimum System Availability: **99.5%**
 - Critical Issue Response Time: **2 Hours**
 - Major Issue Resolution Time: **8 Business Hours**
 - Minor Issue Resolution Time: **2 Business Days**
 - Monthly Preventive Maintenance.
 - 24x7 Email Support.
 - Business Hours Telephone Support.
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Commercial Terms

Total Contract Value:

Rs. 12,00,000/- (Rupees Twelve Lakhs Only)

Applicable GST shall be charged extra as per Government regulations.

Payment Schedule

Milestone	Amount
Project Kick-off	Rs. 2,40,000/-
Design Approval	Rs. 2,40,000/-
Development Completion	Rs. 3,60,000/-
User Acceptance Testing	Rs. 2,40,000/-
Final Deployment	Rs. 1,20,000/-

Bank Details of Service Provider

Bank Name: HDFC Bank

Account Name: Innovate Digital Services Private Limited

Account Number: 50200012345678

IFSC Code: HDFC0001234

Branch: Electronic City, Bengaluru

Contact Persons

Client

Mr. Rajesh Kumar

Managing Director

TechNova Solutions Private Limited

Email: **rajesh.kumar@technova.in**

Phone: **+91-9876543210**

Service Provider

Ms. Priya Sharma

Director

Innovate Digital Services Private Limited

Email: **priya.sharma@innovatedigital.in**

Phone: **+91-9988776655**

Acceptance

By signing below, both Parties acknowledge that they have read, understood, and agreed to the Scope of Services and Commercial Terms contained in this Annexure, which shall form an integral part of the Service Agreement.

For TechNova Solutions Private Limited

Authorized Signatory

Name: **Mr. Rajesh Kumar**

Signature: _____

Date: **01 August 2026**

Company Seal

For Innovate Digital Services Private Limited

Authorized Signatory

Name: **Ms. Priya Sharma**

Signature: _____

Date: **01 August 2026**

Company Seal